

Acme Corporation Annual Report

Fiscal Year 2023 — Financial Statements and MD&A;

Letter to Shareholders

Fiscal year 2023 was a breakout year. Total revenue grew 23 percent to \$142.6 million, crossing the \$140 million milestone ahead of schedule. We achieved operating profitability on a GAAP basis for the first time and ended the year with \$87.2 million in cash.

Our land-and-expand motion continued to deliver. Net revenue retention reached 118 percent, and the number of customers with annual contract value above \$100,000 grew from 84 to 137.

Revenue Summary

Total revenue for fiscal year 2023 was \$142.6 million, up 23 percent from \$115.9 million in 2022. Subscription revenue accounted for \$98.4 million (69 percent), professional services for \$28.1 million, and other revenue for \$16.1 million.

Revenue Line	FY2023 (\$M)	FY2022 (\$M)	Growth
Subscription	98.4	76.3	29%
Professional Services	28.1	24.1	17%
Other	16.1	15.5	4%
Total	142.6	115.9	23%

Operating Expenses

Total operating expenses were \$128.3 million. Research and development accounted for \$52.1 million, sales and marketing for \$44.7 million, general and administrative for \$24.9 million, and depreciation and amortization for \$6.6 million. Operating margin improved to 10.0 percent from 4.2 percent in 2022.

Cash Position

Cash and cash equivalents at year end were \$87.2 million, up from \$61.5 million. Free cash flow was \$14.8 million. The company remains debt-free. A revolving credit facility of \$25 million remains undrawn.

Headcount

Total headcount at year end was 3,452 employees, up from 2,847. Engineering grew to 1,380, sales to 940, and customer success to 410.

2024 Outlook

Management guides fiscal year 2024 revenue to \$175 to \$182 million, representing 23 to 28 percent growth. Operating margin is expected to expand to 13 to 15 percent. Headcount is planned to grow to approximately 4,100 employees.